

FRVO

FRVO N/A

Hold	\$23.89 ▼ 14.31%	12M Price Target \$32.00	52-Week Range \$23.10 – \$42.65	Market Cap \$7.04B
------	------------------	-----------------------------	------------------------------------	-----------------------

FRVO: Geothermal Darling Cracks 52-Week Low on Momentum Break

WHAT HAPPENED

- FRVO just cratered 14% on no company-specific news — it printed a fresh 52-week low at \$23.89, sitting at just 4% of its yearly range. That's a stock that's been left for dead by momentum traders, and it lines up with a broader unwind in speculative clean energy names as Congress hammers out the reconciliation bill that could gut Inflation Reduction Act (IRA) tax credits.
- The weird part: options flow is screaming BULLISH (0.26 put/call, unusual call buying at \$20 and \$25 strikes). Someone is either catching a falling knife or knows something — possibly positioning for the rumored Nvidia partnership expansion or an IPO-related catalyst given the Barron's chatter about AI/energy IPOs.

WHY IT MATTERS

This is a classic "theme is right, timing is wrong" setup. Fervo has genuinely differentiated tech (enhanced geothermal) and the AI data center power crunch is real — Nvidia partnered with them on a digital twin, hyperscalers are desperate for 24/7 clean baseload, and geothermal is the least controversial answer. BUT the stock is bleeding because (1) the reconciliation package moving through Congress is threatening to phase out clean energy tax credits earlier than expected, which directly hits project economics, and (2) they missed earnings recently, reminding everyone this is a cash-burning pre-revenue infrastructure story. The 14% drop with no filings and bullish options flow tells me this is forced selling / momentum unwind, not a fundamental break — but you don't catch this knife until you see a base form.

POLICY & POLITICAL WATCH

The single biggest variable is the fate of the geothermal Investment Tax Credit (ITC) and Production Tax Credit (PTC) under the current administration's tax bill negotiations. Geothermal got favorable treatment in the IRA (30%+ ITC), and if that survives reconciliation, Fervo's Utah "Cape Station" project economics stay intact — if it gets clawed back or accelerated in phase-out, the whole DCF model resets lower. Also watch FERC and BLM permitting reform: geothermal is one of the few clean energy sources with bipartisan support (the "Energy Permitting Reform Act" language keeps resurfacing), and any streamlining of federal land drilling permits is a direct tailwind since most geothermal resource sits on BLM land.

IS IT EXPENSIVE?

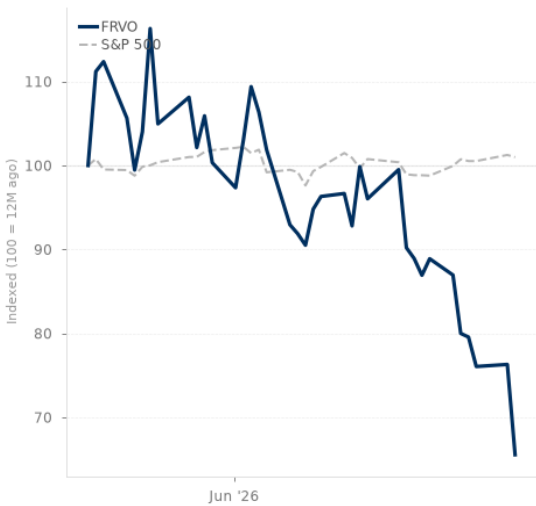
Key Data

Price (USD)	\$23.89
12M Price Target	\$32.00
Upside / (Downside)	+33.9%
Market Cap	\$7.04B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$29.00	\$25.00	\$20.00
6 Months	\$38.00	\$30.00	\$18.00
1 Year	\$48.00	\$32.00	\$16.00
2 Years	\$65.00	\$42.00	\$14.00
5 Years	\$120.00	\$70.00	\$12.00
10 Years	\$250.00	\$130.00	\$10.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+1.24% today) and traditional Energy (+1.26%) — money is flowing to boring, cash-generating power names because the AI power thesis is intact but investors want profits NOW, not in 2028. Healthcare and Real Estate leading on rate-cut hopes.

COOLING OFF: Speculative clean tech and pre-revenue energy stories — the reconciliation bill overhang is toxic for anything that depends on future tax credits.

ROTATION WATCH: Money is rotating from "clean energy story stocks" (FRVO, run-of-river hydro, green hydrogen) into "clean energy cash flow stocks" (VST, CEG, NRG) because investors want AI power exposure without policy risk.

RELATED PLAY: If you like the AI-needs-power thesis but hate the policy risk, look at Vistra (VST) or Constellation (CEG) — they're already selling baseload power to hyperscalers at premium prices, no tax credits required.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas fleet selling directly to data centers at premium PPAs — profitable today, no policy dependency
- CEG (Constellation): The Microsoft Three Mile Island deal is the template; they're the incumbent winner of the AI power trade

FRVO CONTEXT: FRVO is deeply lagging its "AI power" peer group — VST and CEG are near highs while FRVO is at 52-week lows. That divergence tells you the market is bifurcating between "proven AI power" and "story AI power," and FRVO is stuck in the wrong bucket until Cape Station delivers megawatts.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I like the theme, I don't love the timing, and the policy overhang is real

POSITION SIZE: 1-2% max as a speculative sleeve — this is a "could 5x or could get halved" name, size it accordingly

ENTRY POINTS: Don't chase. Let it base for 2-3 weeks. Add on either (a) a hold of \$22-24 with volume drying up, or (b) a breakout above \$28 that confirms the bottom

TIME HORIZON: 18-36 months — you're waiting for Cape Station megawatts to come online and prove the model

WHEN TO BAIL: Cut it if Utah project slips past 2027, if they announce a big dilutive equity raise below \$25, or if reconciliation kills the geothermal ITC outright

HEDGING: Pair a small FRVO position with a bigger position in a profitable power name like VST or a boring utility like NEE — you get the theme exposure with a shock absorber if the speculative end melts down